

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-10

TZ SSE Buyer, LLC, Complainant v. Yang Ming Marine Transport Corp., Respondent

**COMPLAINANT TZ SSE BUYER, LLC'S
RESPONSES TO RESPONDENT'S PROPOSED FINDINGS OF FACT**

Pursuant to the Presiding Officer's Scheduling Order dated March 25, 2024, Complainant, TZ SSE Buyer, LLC ("Complainant"), by its attorneys, responds to Respondent Yang Ming Marine Transport. Corp. ("Respondent") Proposed Findings of Fact ("RPFF") as follows:

RPFF 1. Complainant, TZ SSE Buyer, LLC, as the alleged successor-in-interest of Impact Products, LLC and Safety Zone, LLC after their bankruptcy, and as the assignee of non-vessel operating common carrier Laufer Group International ("Laufer") pursuant to an assignment dated April 4, 2024, claims \$1,304,526.00 in demurrage, detention, per diem, and yard storage charges paid to Laufer and purportedly passed on to Yang Ming pursuant to Service Contracts and Sea Waybills running between Laufer, as Shipper, and Yang Ming, as Carrier, from the beginning 2021 through the end 2022. (Amended Complaint, Docket Entry No.15; Assignment, CX 8-12).

RESPONSE: Admitted.

RPFF 2. Complainant seeks to blanket recover the entirety of every single charge paid to Laufer, and assumed to have been passed on to Yang Ming, during the full two-year period, as if not a single one is valid. (Hallett Deposition, RX13) ("Q. Okay. So, am I correct that you're suing for every dollar of charges that Laufer received from Yang Ming? A. During that period, yes. Q. Yeah '21, '22, correct? A. Correct.").

RESPONSE: Admitted in part, denied in part. Complainant admits seeking recovery of \$1,304,526.00 in demurrage, detention, per diem, and yard storage charges assessed by Respondent during 2021–2022. However, Complainant denies that these charges were merely “assumed” to have been passed on to Respondent. Evidence, including documents presented by Complainant and partially corroborated by Respondent, establishes that Respondent directly received the proceeds paid by Impact Products LLC and Safety Zone LLC (“Complainant’s Predecessors”) to Laufer, which were subsequently passed on to Respondent. (CX_000004; CX_000032–58; CX_000263–79; RX214–15.)

RPFF 3. However, Yang Ming has confirmed that none of Yang Ming’s charges to Laufer at issue in Complainant’s claim was ever disputed, either by Laufer’s customer or by Laufer. (Supplemental Discovery Responses, RX49-50). No such documents exist, and that fact has been repeatedly expressed to Complainant. Id.

RESPONSE: Denied. The cited material consists of two self-serving emails from Respondent’s counsel that fail to support this proposed finding of fact. Neither email confirms that none of the demurrage, detention, per diem, or yard storage charges assessed by Respondent to Laufer were ever disputed by Laufer or its customers, nor do they establish that such documents do not exist. (RX49-50). Additionally, the emails do not indicate that Respondent repeatedly informed Complainant of the nonexistence of such documents. (*Id.*) Instead, the emails reference the production of trucker disputes allegedly related to the disputed charges. (*Id.*) However, as Respondent is aware, the documents produced were irrelevant to the allegations in the Verified Amended Complaint, which likely explains why Respondent omitted the underlying documents referenced in these emails from its Appendix. (*Id.*)

Additionally, the evidence presented by Complainant confirms that, during 2021–2022, there were communications between Respondent, Laufer, Complainant’s Predecessors, and the trucking companies engaged by Laufer to retrieve and deliver containers. (CX_000151–76.) These communications specifically addressed shipments of Complainant’s Predecessors’ goods transported using Respondent’s ocean carrier vessels and related services. (Id.)

RPF 4. Nor has Complainant produced any documentation or other evidence to support a dispute of any specific charges. Complainant’s witness testified:

Q. Were there any invoices presented by Yang Ming directly to SSE?

A. Not to my knowledge.

Q. All right. Were all the detention and demurrage invoices that are the subject of the lawsuit in the Federal Maritime Commission against Yang Ming presented by Laufer to SSE?

A. To my knowledge, yes.

(Hallett Deposition, RX20).

Q. All right. If they had some verification process, and they found the charge was improper, would they have done the same, passed it on to Laufer?

A. I don’t know that.

Q. Do you have an expectation as to what would have happened in that case?

A. Well, in expectation versus fact, I would expect that they would verify that charge was correct before they passed it onto us.

Q. All right. So, that's another way of saying they would not have passed on improper charges to SSE, that would be your expectation?

A. That would be an expectation, yes.

Q. All right. And did you ever have any instances in respect to the timeframe

that the complaint was filed against Yang Ming where SSE went back to Laufer and disputed any detention and demurrage charge?

A. To my knowledge, I would say we would not have disputed.

Q. And is that because you felt they were fair and reasonable?

MR. PACHECO: Objection to form.

A. We had the -- we had the expectation that they would have invoiced us correct.

Q. All right. And did you do any investigation on your own to assure that that was the case?

A. I don't have any specific instances that we did that, but that is not to say that we did not.

Id. at RX21.

Q. All right. And as you sit here today, do you have recollection of any disputes being lodged against Laufer for any yard storage?

A. As I sit here today, I cannot remember one.

Q. Do you have records of disputes filed or presented to Laufer?

A. There would be no filing. It would simply be an e-mail asking a question.

Q. Have you reviewed your records to see if there were any e-mails disputing either yard storage or detention and demurrage charges?

A. Not in these specific cases, no.

Id.

Q. Did anyone at Laufer ever tell you the charges in their assessment that were presented to SSE for detention and demurrage were improper or should not have been presented?

A. I don't believe they told me that directly, no.

Q. How about indirectly?

A. I would not say indirectly, either. Not that I can recall.

Q. Did anybody at Laufer ever tell you that Yang Ming had refused to deal with them at any point in time?

A. They did not tell me that, no.

Id. at RX22.

RESPONSE: Denied. Complainant has provided a sworn declaration from Mr. Lawrence Hallett, the former Director of Global Logistics for Supply Source Enterprises (parent company of Complainant's Predecessors), who oversaw the global supply chain and logistics operations for Complainant's Predecessors. (CX_000001–12.) Mr. Hallett confirmed that Laufer disputed the demurrage, detention, per diem, and yard storage charges assessed by Respondent, based on communications between his team and Laufer during 2021–2022. (CX_000004.)

Furthermore, Complainant asserts that Respondent possesses all relevant communications concerning the shipments of Complainant's Predecessors' goods transported using Respondent's ocean carrier services during 2021–2022. As detailed in Complainant's Proposed Findings of Fact (CPFF ¶ 53), Complainant sought critical documents through Interrogatory Nos. 5, 7–8, 11, 14, and 17, and Requests for Production Nos. 4–7, 14, 17, and 19. (CX_000177–190.) These requests specifically sought communications between Complainant's Predecessors, Laufer, trucking companies, and Respondent concerning the transportation of Complainant's Predecessors' goods and the disputed charges during 2021–2022. (*Id.*)

Instead of complying, Respondent issued general objections and refused to produce or identify the requested materials. (CX_000191–201.) Despite repeated follow-ups, Respondent failed to provide the documents, explain what searches were conducted, or clarify why no results were found. (CX_000206–262.)

Additionally, the cited material misrepresents Mr. Hallett's deposition testimony and takes it out of context. The testimony in question (RX21) involves a hypothetical scenario posed by Respondent's counsel, not a factual admission by Mr. Hallett. Specifically, Respondent's counsel asked Mr. Hallett to assume two scenarios: (1) Laufer investigates Respondent's charges and determines they are proper, and (2) Laufer investigates and determines the charges are improper. (*Id.*, 85:3–13.)

Mr. Hallett responded: "I would say if the Yang Ming invoice was presented to Laufer, not knowing any verification process that they go through, they would take that charge and invoice us on Laufer paper." (*Id.*, 85:14–18.) When pressed further on whether Laufer would pass on improper charges, Mr. Hallett stated, "I don't know that... Well, in expectation versus fact, I would expect that [Laufer] would verify that the charge was correct before they passed it onto us." (*Id.*, 86:2–5.) (Emphasis added.)

Respondent's counsel then asked whether Complainant's Predecessors disputed any charges during 2021–2022. Mr. Hallett responded: "To my knowledge, I would say we would not have disputed... We had the expectation that they would have invoiced us correct." (*Id.*, 86:23–25.) (Emphasis added.)

This testimony simply reflects Mr. Hallett's expectation that Laufer would verify the accuracy of Respondent's charges—ensuring, for example, that invoices did not include extra days of demurrage, detention, per diem, or yard storage charges. (RX20–22.) It does not address the reasonableness of the charges Respondent assessed or whether Laufer sought waivers or reductions due to the severe congestion and chassis crisis affecting the industry at the time.

Respondent's attempt to distort this testimony to suggest a lack of disputes or impropriety in the charges should be rejected.

RPFF 5. And, as the Bankruptcy Court docket reflects, the claim now asserted does not even appear to have even been declared in the bankruptcy case pursuant to which Complainant succeeded to the rights of Laufer's customers so as to establish that the sale of the assets, in fact, included the present cause of action. See, 24 bk 11054 (Bankr. D. Del.), Docket Entry Nos. 156, 159, 160, 161, 164, 165, 173, 222; see also, Hallett Deposition, RX23-24 ("Q. All right. If I asked you whether the claim by the Complainants in the FMC against Yang Ming was listed as an asset or listed at all in the bankruptcy proceeding, would you be able to answer that? A. No, I would not. I do not know.").

RESPONSE: **Denied. The statement is not a fact but a legal argument and conclusion improperly presented as a proposed finding of fact. The Presiding Officer's Scheduling Order dated March 25, 2024, explicitly requires that each factual proposition be supported by "an exact citation to the evidence that the party contends will support the proposed finding of fact; e.g., a page number in the appendix." March 25, 2024 Scheduling Order, pp. 2–3.**

Here, Respondent cites only to a bankruptcy docket and related docket entries, none of which constitute evidence within the factual record of this case. As such, the statement fails to meet the standard for a proposed finding of fact and should be disregarded. Complainant fully addressed Respondent's argument related to the mentioned bankruptcy in its Opening Brief (pp. 4, 17 at fn. 1) and Reply Brief (pp. 9–11.)

Furthermore, the Commission has held that proposed findings of fact or responses that include arguments rather than stating facts will be discounted. Arguments must instead

be presented in the parties' briefs. *See CMI Distribution, Inc. v. Service By Air, et al.*, Docket No. 17–05, 2019 WL 4734322, at *2 (May 24, 2019) (striking and discounting proposed findings of fact that contained arguments instead of factual assertions).

Lastly, the only evidence Respondent cites in support of this proposed fact is Mr. Hallett's testimony. However, Mr. Hallett explicitly stated that he did not know whether the Complainant's Predecessors' FMC claim against Yang Ming was listed as an asset or otherwise included in the bankruptcy proceeding. (RX23-24.) Respondent's counsel is fully aware that Mr. Hallett is not a bankruptcy attorney (CX_000001–2) and was deposed solely regarding his direct knowledge of the demurrage, detention, per diem, and yard storage charges alleged in the Complaint—not the bankruptcy sale. As such, his testimony does not support Respondent's argument and is irrelevant to this proposed finding of fact.

RPFF 6. Moreover, after full discovery, only three communications involving Yang Ming during this period were produced, and they just generally note the lack of chassis availability occurring sporadically during the period. (E-Mail Exchanges, CX 151-76). But, of course, not every chassis issue or other impediment to timely retrieval and return of containers as a result of the COVID-19 pandemic can be attributed to problems with the ocean terminals, as opposed to the truckers or rail or yard facilities. See supra ¶ 7. And charges can be reduced or waived before invoicing. Id. Simply no evidence has been presented to establish that even one specific charge, let alone all of, the charges comprising the \$1,304,526.00 were invalid and/or attributable to Yang Ming.

RESPONSE: Denied in part, admitted in part. Complainant admits to presenting three email communications from 2021–2022 involving Respondent, Complainant's Predecessors, Laufer Group International, and trucking companies, which

relate to the transportation of Complainant's Predecessors' goods using Respondent's ocean carrier services. These emails informed Respondent of significant issues with chassis availability, including: "[T]here is a chassis shortage and the trucker will pick this up as soon as they can" (CX_000152); "[T]here is a big problem with chassis as you [are] probably aware of. Trucker will pick up once they have chassis" (CX_000163); and "...we are managing the best we can considering the severe deficit of chassis..." (CX_000170).

Denied that this constitutes "full discovery." Discovery was incomplete because Respondent failed to fully comply with Complainant's discovery requests. Respondent possesses relevant communications concerning the transportation of Complainant's Predecessors' goods but failed to disclose them or substantively explain why such records could not be located, apart from claiming they do not exist. As detailed in Complainant's Proposed Findings of Fact (CPFF ¶ 53), Complainant requested critical documents through Interrogatory Nos. 5, 7–8, 11, 14, and 17, and Requests for Production Nos. 4–7, 14, 17, and 19. (CX_000177–190.) These requests specifically sought communications between Complainant's Predecessors, Laufer, trucking companies, and Respondent regarding the transportation of goods and disputed charges during 2021–2022. (*Id.*)

Instead of complying, Respondent issued general objections, refused to produce or identify the requested materials, and failed to explain what searches were conducted or why no results were found, despite repeated follow-ups. (CX_000191–201; CX_000206–262.)

The last three sentences of this RPFF are also denied, as they consist of unsupported arguments rather than factual assertions and lack proper citations to the record. Specifically, Respondent fails to clarify what "See supra ¶ 7" means or identify the specific exhibit from either party's appendix to which it refers. The Commission has found that proposed findings

of fact containing arguments rather than evidence-based facts should be discounted. *See CMI Distribution, Inc.*, 2019 WL 4734322, at *2 (striking and discounting such proposed findings of fact).

RPFF 7. Yang Ming's witness confirmed that not every charge on Laufer's invoices was necessarily passed through from Yang Ming:

Q. Yeah. I just meant to say: Are you aware based on your review of the Complaint that the Complainant is alleging that Yang Ming charged Laufer a total demurrage, detention, per diem, and yard storage fees in the amount of \$1,304,526 during the relevant period?

A. Okay. I don't think Yang Ming would be charging yard storage. I'm not sure where that is being claimed at, but demurrage, detention, per diem would fall under Yang Ming's service but not yard storage.

(Anki Deposition, at RX27).

A. This is not demurrage charge. This is storage charge at the railroad.

Q. Storage charge at the railroad. Okay.

A. Which is billed by the railroad.

Q. What -- Why wouldn't that -- Why wouldn't that be a demurrage charge as well?

A. Demurrage is at the port.

Q. Okay. So -- So this -- you're saying this has nothing to do then with Yang Ming, they would not have charged anything at this point?

A. No. This is -- This is at the railroad and not -- not at the port.

Q. Okay. So, again, I just want to clarify your testimony here. You're saying that Yang Ming, you know, sending all these reminders to Laufer to pick up a container, they weren't issuing any -- any charges whatsoever or they weren't receiving any -- any proceeds from the charges that were issued to Laufer because this container was -- still had missed the last free day to pick up?

A. Yes. Yang Ming was not charging anything on this. We were just doing a courtesy reminder that the container is still at the railroad.

Id. at RX28.

Q. This -- This is -- This particular case is rail storage as well?

A. Yes, it is rail storage. It is not demurrage.

Q. Okay. So you have nothing to do with -- with these issues whatsoever?

A. It is outside the scope of our business.

Id. at RX29.

RESPONSE: Denied. This proposed finding of fact relies solely on self-serving testimony from Respondent's corporate representative, claiming that the alleged yard storage charges referenced in paragraph 15 of the Verified Amended Complaint were not assessed by Respondent. (RX27–29.) Respondent has failed to provide any corroborating evidence, such as sample invoices or supporting data, despite having such materials in its possession.

Additionally, Respondent's testimony contradicts the evidence. For example, Respondent asserts, "This is not demurrage charge. This is storage charge at the railroad." (RX28, 112:4–5.) However, the email Respondent appears to reference (CX_000161) includes a screenshot of an invoice that explicitly states, "Please be aware of demurrage charge and lien notice." Respondent has not rebutted this evidence or explained why the clear language indicating a "demurrage charge" does not, in fact, refer to a demurrage charge, relying instead on unsupported testimony.

Notably, Respondent's corporate representative admitted during her deposition that her role at Yang Ming was limited to demurrage charges and that she lacked experience with detention, per diem, or other accessorial charges. (CX_000017–18, 27:9–10; 28:22–24; 29:8.) As such, her testimony falls outside her scope of expertise and lacks evidentiary support, as

it addresses matters (yard storage charges) beyond her knowledge. Accordingly, this proposed finding of fact should be disregarded.

RPFF 8. Nor, it should be needless to say, was every charge necessarily a result of terminal issues which would warrant a waiver or reduction:

Q. So it's not all out -- it's fair to say that it's not, you know, the lack of availability from the trucker just in general, but there are other outside circumstances that prevent them -- prevent them from picking up the containers; is that right?

A. There are -- During -- During these two holidays, New Year's and, you know, Christmas, a lot of drivers go south to Mexico. A lot of them take time off. So the trucker may have low power.

Q. Okay. A. They would not have all power. So that's usually a normal thing.

Id. at RX30.

Q. So based on this e-mail, my interpretation is that, you know, the truckers really -- it wasn't the truckers that, you know, just didn't have availability. Do you read that as -- as -- as that as well, or what's your interpretation?

A. No. That is not accurate. Your statement is not accurate. During the holidays, it is -- plus in Michigan you have weather issues around this time of the year. You have two holidays falling one after the other. It's usually something that happens around New -- New Year's. So this message really tells me that they're still trying to have power or truck power or somebody that can pull it on the 8th, but the congestion and delays continue to cause - - wreck havoc, because it's the holiday congestion, the weather. That's -- That's what it is. It's just an ongoing thing. That's nothing unusual around New Year's, Christmas . . . A lot of -- You have to understand that during the holidays a lot of receiving warehouses close, like, where customers are accepting cargo. It's closed because their staff are on holiday, they're not doing any kind of receiving of new merchandise. Plus there's always in Michigan around this time the weather conditions. Two holidays, one after the other. So this type of congestion that he's mentioning is the usual norm for that time of the year.

Q.· So would it be usual in 2021 --

A. Again, a lot of delivery locations, they close. They do not accept cargo between Christmas and New Year's because a lot of their employees or their distribution centers are closed.

Q. And -- And I guess my point is: Would it be usual there would -- would there be usual congestion during this time in 2021 where it was COVID, though? A lot of things were closed. People weren't traveling as much. This was literally, if I'm not mistaken -- or I could be, but this was peak COVID time. So I don't think anyone was allowed to travel or go out of the country or anything.

A. I -- I understand that. However, it -- this type of congestion is the usual without COVID. So COVID may have added some, but it's usual congestion around that time of the year.

Id. at RX31.

RESPONSE: Denied. This proposed finding of fact relies solely on speculative testimony from Respondent's corporate representative, which lacks clarity and evidentiary support. Respondent does not specify which email its corporate representative is discussing. Based on context, it appears the testimony refers to Exhibit 10 (CX_000111-23) from Complainant's Appendix. It should not be Complainant's responsibility to clarify Respondent's proposed findings of fact by providing context or citing the relevant exhibits referenced in RPFF 8.

Even assuming the email referenced discusses holiday congestion, there is no evidence cited by Respondent indicating that the chassis shortage was also caused by the holidays. While the email may mention congestion during the holidays (CX_000111-23), Respondent's corporate representative's statements are speculative opinions based on her interpretation of the email, with no corroborating evidence. Respondent's corporate representative provides no factual basis to confirm that the chassis shortage resulted from the holidays and instead offers personal assumptions. Respondent also fails to cite any evidence in the record to support its corporate representative's beliefs.

Accordingly, this proposed finding of fact should be disregarded as unsupported and speculative.

RPFF 9. And the record is clear, with no evidence to the contrary, that, under procedures well known to its customers at the time, Yang Ming was perfectly willing to investigate, negotiate, and resolve any issues raised relative to supply-chain issues beyond shippers' control, had any such problems been raised and supports provided.

A. I don't remember specifically, but I do remember if a client came to us and brought up an issue, it was reviewed and handled as necessary as long as –

Q. And how did a client –

A. -- the facts -- as long as the facts are provided and they did follow the rules of returning an empty.

Q. And how would a client be able to do that?

A. The clients -- The truckers and the clients are advised. They know all the time. This is standard procedure. They contact the steamship line, and they say, We can't return the empty because, let's say, some railroad is not accepting it, Where can we return. And instructions are given accordingly to that trucker or the -- the client. It has to be noted. And if they have -- they cannot return it to an outside location, depot, then per diem is waived.

Q. Okay.

A. But they have to contact and they have to bring facts. And the facts are reviewed, and action is taken accordingly.

Q. Okay. And do you know whether Yang Ming has a policy about contacting them, what type of proof does a customer need to bring, who exactly do they have to contact? Is there a policy? And what is that policy, to your knowledge, if there is one?

A. Yes. There is policy that truckers contact our equipment department who is responsible for empties. And that's a very clear policy, and it's nothing new. It's been done throughout the years, not just COVID years. They would contact our equipment department and say, Hey, we cannot return because so and so says they can't accept empties. And our equipment department would review. Sometimes we're in copy, so we do see that conversation

with the client. And they indicate where to return it. And if that cannot be returned, then they file proper waivers.

Id. at RX32.

Q. So -- Okay. So specifically for demurrage, what -- what is the -- is there a written policy that a customer can review to determine what is -- what Yang Ming -- how Yang Ming determines whether to waive a demurrage charge? A. Yes. For demurrage, which is at the port, for example, if the container is not available to pick up because it's buried, the free time does not start until it's available. So if a trucker or a client contacts us and says, Hey, it -- it says that the container is not available because it's under a pile of containers that cannot be retrieved right now, so the demurrage -- there won't be a demurrage actually. There would be a free time extension until the freight is available -- the container is available off of that pile and it's available for the trucker to make an appointment and to go pick it up. So once the available container is available, off that pile, the clock starts. So it's not going to be any period of time when -- a discharge to the time that it was buried. There is no demurrage. So that's what we would waive.

Q. Okay.

A. That's one of the examples.

Q. So --

A. Another example would be if the trucker contacts the terminal -- Because we don't have visibility of appointments. If the trucker contacts the terminal and they cannot find an appointment within the free time, they contact us. This is part of our daily troubleshooting. We check with the terminal to make sure that no appointments are available. And then once it's confirmed, the -- there is a waiver and the free time is extended until there is an appointment where they can make that appointment and go pick up. So these are just examples of cases where it's part of our daily customer service troubleshooting. Okay. So those are daily things that we -- but the con- -- they -- we have to be contacted. There should be a communication from the client or from the trucker's client explaining what they're experiencing. And we verify those -- information. And then based on that, we do waive it. So we do have daily troubleshooting if there is a contact from the client.

Q. Is there a -- Is there a written policy that a customer can review to, you know, essentially -- essentially know who to contact, when to contact them, what proof they need to show? Is there anything in the service agreements between the customer and Yang Ming --

A. Truckers -- Truckers know all these. This is not -- nothing knew. I mean, this has been done pre-COVID. This has been done for 20 years, 30 years. It's nothing new, this policy. Because anytime there is such an event or a terminal error or a terminal issue, then we review, we troubleshoot. But we've got to know about it because we're not at the terminal, we're not with the trucker. The trucker and the terminal have to have that open communication with us for us to review on a daily basis on -- on the spot, not days later or years later. They've got to -- We take care of them. That's part of our customer service troubleshooting.

Id. at RX32-33.

A. It was a unique time, but we still handled every inquiry. As a matter of fact, all of our employees worked during COVID. Even if they had COVID, they still worked from home. We were considered essential, you know, in -- industry by the Government. We did work even during COVID. So if somebody at the terminal did not go to -- to work -- However, our employees all worked. And we did answer every e-mail. We worked on e-mail on premises.

Id. at RX33-34.

A. . . . So in those cases we are notified, but the client has to contact us so we can troubleshoot that and make note of it immediately and extend the free time until the -- the terminal has appointment and they can make that appointment so they can pull that container. So it's very dependent on what the terminal can process. And, again, the client has to contact us immediately and -- for us to be able to troubleshoot because we're customer service and we're -- need to handle daily requests, daily troubleshooting . . . And since we don't have this ability of the appointments, when the client contacts us, we contact the terminal and verify that there are no appointments and the waiver is put. What it is -- It's not a waiver. What we do is we extend the free time. We give them more days for them to pick up without assessing any demurrage charges.

Q. What about when the drivers have to -- waiting in line, essentially, you know, they can't get into port? Is that another instance when Yang Ming would waive a charge?

A. If we don't have proof that they were at the terminal -- Because terminals will let us know if they had that trucker and they didn't service that trucker. The trucker would contact us, provide proof. Because every terminal has a trouble ticket booth at the opening of the terminal. And if they have an issue, they would go there. And we are contacted when there's trouble. And if the -- the terminal has not been able to service that trucker, then we do extend the free time.

Id. at RX35.

Q. My question, Ms. Anki, is: If a trucker is in line at the port or at the terminal but they're unable to get in for various reasons, one of them being the port congestion, how are they able to show proof that they weren't able to get in on their last free day? What -- What -- What would that proof entail if they were never -- weren't able to get in?

A. Okay. First, they have to have an appointment if that's --

Q. Right.

A. -- where they're going in line.

Q. Right.

A. Second, if they're having trouble, then they go to the ticket booth, where the trouble ticket booth is, and they get a trouble ticket so the terminal knows about it. Okay? And based on what they see, the terminals see, with those trouble tickets, if it's -- Because there's a long line, we've seen a lot of the terminals extend the free time, I mean, the -- the hours of operation, extend it by another hour, half an hour. We've seen that multiple times. But it is the decision of the terminal based on the trouble tickets that we receive and what they see is going on in their terminal. They control and manage that. Okay? So if that is the case and they have a trouble ticket, they send it to us. We go back to the terminal and ask them, Are you handling this, Are you helping this. And the terminal will -- will say, It's an issue, We're extending the time, We're going to be opening -- keeping the gate a little bit longer, or We're going to allow the trucker to come the next day to pick up without an appointment. They make those kind of judgment calls and those -- free time is extended. However, we have to have proof that they were there. A trucker who never went into the line, never went to the trouble ticket cannot claim that they were in -- in line and for the terminal to help them.

Q. So can you --

A. The terminal has -- Excuse me. The terminal and us, we need to know what they're experiencing and what the issue is. And we go to the terminal. This is -- as I mentioned, is our daily routine. This is what all of our staff are trained to do, troubleshoot. We go -- We take the facts that the trucker gave us. We go to the terminal and find out what the situation is and what they're going to do. And based on that an extension of free time is given. And sometimes, as I mentioned, the terminal will even waive having an appointment the next day and handle the priority, that trucker as priority. So

it's case by case. We need to hear about it. We need to know about it so we can assist the client, so we keep the fluidity. Because at the end we're trying to get containers moving because there's another vessel that may be coming. It is not to our benefit or the terminal's benefit to hold onto containers and not allow or make it difficult for the containers to be outgating and picking up. That's how we keep the supply chain moving.

Id. at RX36.

Q. . . . I know we talked about Yang Ming has essentially a verbal policy that's been the standard for years about how to dispute these charges. But I just want to clarify that whether -- in the relevant period whether there -- In addition to that general policy, were there any other policies implemented during this time as a result of the pandemic, port congestions, equipment shortages, all of the above?

A. Okay. You mentioned that these are dispute. We discussed the troubleshooting that we do on a daily basis to waive demurrage. We did not discuss what the dispute process, that is, our procedure or -- is in the books or policy for years. A client can still dispute an invoice after they pay, and those charges still are reviewed.

Q. And how -- how is that different then? We talked about troubleshooting and --

A. The troubleshooting is -- It's every day I --I am helping customer resolve the situation, resolve the problem, take care of them so the containers are moving out. Okay? So if a client feels they want to dispute, they have -- you know, they have the right to do so. They can come and dispute, and that's reviewed.

Q. And how do -- what's -- what's the policy for disputing a charge? Does Yang Ming have a policy for disputing a charge, demurrage charge, for example?

A. Yeah. A client can dispute, but it's all reviewed. The facts have to be -- you know, backup provided. There's -- You know, all that is done, and as necessary, actions are taken accordingly.

Q. And --

A. And deliver all the backup, or necessary proof must be given to them.

Q. Is there a method to dispute a charge? How would a client dispute a charge? What would be the steps that they need to do?

A. They contact their salespeople. They can contact customer service, and they can do all that.

Id. at RX37.

Q. But there's no website or any particular -- any particular e-mail that solely focuses on disputes, a link to, you know, file a dispute? It's more you have to reach out to Yang Ming generally? Is that what it is or --

A. During -- During -- During COVID that was the process. Right now there is a link, there is instructions on the web site.

Q. Got it.

A. You know, we have a lot of that. However, during COVID the process was the same as what was pre-COVID, which was the client has the right to dispute. And usually because we are customer service, they -- they are in communication with us all the time. So we would be the ones receiving it. The other avenue is sales. If they feel like they want to go to sales, you know, they have the right to do that. It's -- It's done. But we communicate with them. They know us on a daily basis. We're working with them. So they each reach out to us. And, you know, it's always, you know, welcomed by customer service to have that. We're here to hear the concerns.

Id. at RX38.

Q. Lastly -- and this is my last question -- do you know whether customers were offered alternative solutions in order to reduce their exposure to demurrage and detention charges? And, for example -- the few examples I can give you are, you know, temporary storage, extending the free day period. Would -- Would those be things that Yang Ming would do during the relevant time period?

A. Like we discussed, if there were daily double -- troubleshooting cases where it qualified, it was errors of the terminal, operation issues, those free times were extended automatically, as it's our procedure. It -- It does not matter if it was during the pandemic or not. It's our procedure. We did that before, and we still do it even after. So it -- you know, as far as detention, per diem, I know many times outside locations, outside -- empty lots were available for clients. If they could not return it to the terminal, they could return it to those yards. And so those were alternatives then offered. Again, the client has to contact -- the trucker has to contact equipment and say, I am not able to return it because the terminal may not accept it or for some reason, I have the empty, but I'm ready to return it. So alternative location was provided. If they don't contact, they would not know where to return it. So that is a requirement that a trucker or an accountant must do.

Id. at RX39.

RESPONSE: **Denied.** First, Respondent has failed to provide a clear or concise explanation of how the nearly seven pages of deposition testimony it cites support the assertions in RPFF 9. Instead of summarizing or identifying specific lines that support its proposed findings of fact, Respondent improperly shifts the burden onto the Presiding Officer to review the testimony and conduct the analysis on its behalf.

Second, this proposed finding of fact relies solely on self-serving testimony from Respondent’s corporate representative, who asserts that Yang Ming had procedures in place to investigate, negotiate, and resolve issues raised by customers regarding supply-chain challenges beyond their control. (RX32–39.) However, after reviewing the seven pages of testimony cited, Complainant found no mention of specific policies Respondent had for disputing demurrage, detention, per diem, or other accessorial charges during 2021–2022.

Notably, Respondent omits a critical question posed by Complainant’s counsel at the start of this testimony: “Did Yang Ming change any of its policies in relation to demurrage, detention, [or] per diem charges during the pandemic, specifically 2021 and 2022?” (RX32, 170:4–13.) In response, Respondent’s corporate representative, the Vice President of Import Customer Service for Yang Ming America Corporation—a senior executive with extensive experience in handling demurrage issues (CX_000017–18, 27:9–10; 28:22–24; 29:8)—stated she could not recall, saying: “I don’t remember specifically, but I do remember if a client came to us and brought up an issue, it was reviewed and handled as necessary as long as ... the facts are provided and they did follow the rules of returning an empty.” (RX32, 170:14–16.)

This vague response fails to identify any specific policies or procedures Respondent had in place to address customer disputes over these charges. Instead, the corporate representative relied on generalized, self-serving statements about reviewing issues when facts were provided, without explaining what facts were required, how customers were expected to know and provide them, or offering any supporting evidence that Respondent actually reviewed or resolved disputes over demurrage, detention, and per diem charges during 2021–2022. (RX32, 170:14–24; 171:1–6, 8–10, 16–24; 172:1–2.)

When pressed about the specific policies Respondent had in place during 2021–2022 for customers to dispute demurrage, detention, per diem, and other accessorial charges, Respondent’s corporate representative provided only vague and conclusory statements. When asked, “Do you know whether Yang Ming has a policy ... what type of proof does a customer need ... who exactly do they have to contact?” (RX32, 171:11–15.) The corporate representative vaguely responded: “There is [a] policy that truckers contact our equipment department ... it’s nothing new. It’s been done throughout the years ... they would contact our equipment department and say, ‘Hey, we cannot return because ... they can’t accept empties.’ ... Our equipment department would review ... and file proper waivers.” (RX32, 171:16–24, 172:1–2.)

However, at the beginning of her deposition, the corporate representative admitted her sole focus at Yang Ming was on demurrage (container pickup), not detention charges (returning empties). (CX_000017–18, 27:9–10; 28:22–24; 29:8.) Her sudden claim of familiarity with procedures for detention raises questions about her credibility. Even if her statements were accurate, they remain vague and self-serving, offering no specific details or references to an actual policy. Instead, she merely asserted, “That’s a very clear policy ...

it's nothing new ... done throughout the years,” without explaining what the policy entails or where it can be found. (RX32, 171:16–24, 172:1–2.)

Complainant's counsel repeatedly pressed Respondent's corporate representative to identify the specific policies in place during 2021–2022 that informed customers how to dispute demurrage, detention, per diem, or other accessorial charges. (RX32, 171:11–15; 173:9–13; RX33, 175:4–8; RX34, 178:3–12.) Throughout the seven pages of testimony above, the corporate representative continued to make vague, self-serving assertions that such policies existed and that customers were aware of them. (RX32, 173:14–24; RX33, 174:1–5, 9–24; 175: 1–3, 9–20.) However, she failed to provide any specific details about these policies—where they could be found, what they entailed, who customers should contact (a specific email or phone number), the deadlines for disputing charges, or the information customers needed to provide. (*Id.*)

The lack of specificity and corroborating evidence significantly undermines the credibility of this testimony, rendering the proposed finding of fact unsupported.

RPFF 10. Complainant thus improperly relies on the purported expert opinion of John McCown which:

admittedly declines to consider the actual demurrage and detention (“D&D”) invoices and charges at issue produced in detail by YMMT and the complete lack of evidence from the Complainant as to how, if at all, Complainant was prevented from complying with its equipment interchange obligations. Rather, he engages in a convenient “macro” analysis of his own invention in an effort to identify in YMMT's aggregated financial data purported historical over or under performance so as to indicate some sort of nefarious scheme to overcharge for D&D in a manner which was purportedly excessive by industry standards. But his approach is so overbroad and lacking in any reasonable effort to tailor the focus to the particular circumstances involved in this dispute as to be misleading at worst, and practically worthless at best. When the specific charges at hand are properly assessed, the record confirms that no proof whatsoever of any

fault on the part of YMMT has been adduced and simply nothing untoward occurred here.

Additionally, apparently based on nothing more than his “hands on experience,” Mr. McCown seems to adopt conclusions of law which are at odds with those of the FMC, the courts, and the common understandings of maritime actors. He challenges Yang Ming’s standard D&D rates as excessive relative to cost and world-wide industry averages, while YMMT’s D&D rates were, in fact, comparable to competitors in the US market. We must also be mindful that these rates were agreed by the parties as a matter of contract, are in accordance with the published tariff, relate directly to expenses in the concerned trades, and assist the incentive principle in increasing supply chain fluidity.

(Vogt Report, RX53-78; McCown Report, CX 280-324).

RESPONSE: Denied. Respondent fails to explain or summarize with facts how Complainant “improperly relies on the purported expert opinion of John McCown.” Instead, Respondent cites a large portion of its expert report (RX53–78), leaving the Presiding Officer to sift through the report to determine relevance. This violates the Presiding Officer’s Scheduling Order dated March 25, 2024, which explicitly requires each factual proposition to be supported by “an exact citation” to the evidence that the party contends will support the proposed finding of fact, such as a page number in the appendix. (March 25, 2024 Scheduling Order, pp. 2–3.) Blanket citations to a 25-page report lack specificity, fail to direct the Presiding Officer to any relevant evidence, and place an undue burden on Complainant to analyze and respond to every line and exhibit potentially relevant to RPF 10.

Furthermore, the portion of Respondent’s expert report cited in support of this proposed finding of fact consists entirely of unsupported, self-serving opinions. It includes no citations to exhibits, data, or evidence to substantiate the claim that Complainant improperly relied on Mr. McCown’s report. Moreover, Respondent’s expert, an accountant

with no experience in the Federal Maritime Commission (FMC) or maritime transportation industry, lacks the qualifications to opine on these matters. (CX_000326, 330; CX_000342, 36:2–11, 16–23, 37:4–7.) Notably, during his deposition, the expert admitted to not understanding key industry terms, including the definition of an ocean carrier under FMC regulations. (*Id.*)

It is difficult to reconcile how someone unfamiliar with fundamental maritime concepts can credibly assert conclusions about “equipment interchange obligations,” or claim that “these [demurrage and detention] rates were agreed by the parties as a matter of contract, are in accordance with the published tariff, relate directly to expenses in the concerned trades, and assist the incentive principle in increasing supply chain fluidity.” Similarly, the claim that Mr. McCown’s report conflicts with FMC rulings, the courts, and the common understandings of maritime actors are unsupported.

These sweeping assertions lack any specific evidentiary support, making them speculative and unpersuasive. Accordingly, the Presiding Officer should disregard this proposed finding of fact in its entirety.

RPF 11. Yang Ming’s expert thus concluded:

In summary, therefore, I believe Mr. McCown’s conclusions are based on faulty assumptions and flawed reasoning. No “excessive” accessorial charges were, in fact, assessed by YMMT, and Complainant’s claim has been padded by not-“inconsequential” charges from third-party intermediaries. And, in the absence of any evidence to meet its burden of proving that the D&D charges were invalid, Complainant attempts through the sorry expedient of this “expert” opinion to establish a violation based on nothing more than a statistical analysis. I’m not convinced such an approach should ever suffice with respect to an inquiry into the propriety of such D&D charges under the Shipping Act.

But, even assuming *arguendo* a statistical analysis might inform a decision in this kind of case, simplistic, over-broad, non-narrowly-tailored, industry-wide earnings comparisons are demonstrably inadequate. World-wide

industry statistical analysis is a wrongheaded approach, when industry statistics in the United States shipping market in which the Complainant actually participated as a sophisticated shipper are available and directly contradict it. When the data is parsed, and the types of D&D charges at issue are compared to similarly situated carriers with respect to similarly situated trades, any alleged disparity with respect to YMMT vanishes and the claim remains wholly empty.

(Vogt Report, RX53-78).

RESPONSE: **Complainant adopts and incorporates its response to RPFF 10 in full as its response to this proposed finding of fact.**

Additionally, the quoted portion of Respondent's expert report amounts to nothing more than the expert's unsupported personal opinion. Respondent fails to cite any specific exhibits, data, or evidence from either Respondent's or Complainant's Appendix to support the quoted conclusion. Even the general 25-page expert report cited as support (RX53-78) fails to reference any specific exhibits or data to corroborate the expert's conclusion. Consequently, this proposed finding of fact is speculative, unsupported, and should be disregarded.

12. Indeed, such a conclusion is now further bolstered by the subsequent disclosure that Complainant has not just brought an FMC claim against Yang Ming, but also at least five other carriers. (Assignment, CX 8). The fact that Complainant has asserted such Shipping Act violations against apparently every other carrier it used surely belies any suggestion that Yang Ming's practices were somehow at odds with others in these trades. Id.

RESPONSE: **Denied. This statement is not a fact but a legal argument and conclusion improperly presented as a proposed finding of fact. The Commission has held that proposed findings of fact containing arguments rather than factual assertions should be discounted.**

***See CMI Distribution, Inc.*, 2019 WL 4734322, at *2 (striking and discounting such proposed findings of fact).**

Moreover, there is no evidence in the record to support the assertion that Complainant's filing of complaints against other common carriers somehow absolves Respondent of violating the Shipping Act. The logic of this argument is fundamentally flawed. Filing multiple complaints against different carriers does not inherently negate the validity of Complainant's claims against Respondent, as each case involves its own set of facts and circumstances.

Dated: January 24, 2025

Respectfully submitted,

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